PhD Workshop Course Series

Title: Analyzing Data – SDC and Event Study

Objective: The session aims to provide the basics of pulling data from SDC within LSEG Workspace, linking the data to other databases, in this instance CRSP, and run analyses. We will discuss the decisions involved in the process of linking data, how to verify the links, and when to invest time in understanding the institutional knowledge.

Target Audience: Ideal for participants looking to design and implement research workflows that use SDC, link events to firm identifiers permno and gvkey, plan to run event studies, and want to test their sample with paper replications.

Prerequisites: An LSEG Workspace account is needed for SDC. This session builds on T01 (WRDS) and T02 (Python and parquet); participants with prior Python familiarity will benefit the most.

After this workshop, you will be able to:

- Pull data from SDC IPOs and how the SDC app works within LSEG Workspace.
- Understand the challenges of linking firms across databases with different identifiers.
- Plan a research project in modular, incremental steps: test one small piece, check it, then scale up (for example, the IPO sample built one source at a time).
- Identify the elements of an event study and compute abnormal returns around an event.
- Test a sample by comparing your results with a published table.

Topics:

- SDC
- Linking SDC IPO with CRSP, Ritter IPO dataset, and SEC documents
- Downloading SEC Documents
- Event Study basics
    - Benchmark (market index, with or without the risk-free rate)
    - Events: getting the permno and the event date
    - Event dates that fall on non-trading days
    - Cumulative abnormal returns (CAR) by event and by trading day
- Validating your sample and replicating paper results